

International Trade

1. Important Theories of International Trade:

◆ The Mercantilists' View of International Trade

- ◆ Higher exports than imports is the motive
- ◆ Zero-sum game
- ◆ Unequal global distribution of labour, raw materials, and capital led to cross-border trade.

◆ The Theory of Absolute Advantage

- ◆ International trade is mutually beneficial when countries specialise in producing commodities where they have an absolute advantage, allowing for efficient production and trade.

◆ The Theory of Comparative Advantage by David Ricardo

- ◆ Trade is based on comparative rather than absolute cost advantages.
- ◆ Countries export goods when they have a greater advantage and import goods when they have a lesser absolute advantage.

◆ Heckscher-Ohlin Theory of Trade or Modern Theory

- ◆ Countries export goods based on factor endowments/availability

◆ New Trade Theory by Paul Krugman

- ◆ This theory (1980s) explains international trade can occur even between countries with similar capital-labour ratios.

- ◆ Two key concepts explain this: (1) Economies of Scale: Larger production lowers average cost, raises profit and global competitiveness; (2) Network Effects: More users increase product value & consumer choice

2. Basic Definitions:

- ◆ **Trade Policy:** It is formulated by the government to either promote or restrict trade, export or import.

- ◆ **Free Trade:** Buyers and sellers from separate economies voluntarily trade with a minimum of state interference.

- ◆ **Protectionism:** It is a state policy aimed to protect domestic producers against foreign competition through the use of tariffs, quotas and non-tariff trade policy instruments.

- ◆ **Trade Liberalisation:** It refers to the opening up of domestic markets to the rest of the world by lowering trade barriers.

- ◆ **Tariff = Custom Duties:** Taxes on imported/exported goods & services.

- ◆ **Specific Tariff:** A fixed charge applied to each unit or weight of a product, such as 100 per kg.

- ◆ **Ad Valorem Tariff:** A tariff calculated as a percentage of the product's total value. i.e. a 30% ad valorem tariff on any American cycle.

- ◆ **Mixed Tariff:** A tariff that combines both ad valorem (percentage of value) and specific (fixed per unit) duties on an imported good.

- ◆ **Compound Tariff:** A tariff that applies either an ad valorem duty or a specific duty, whichever is higher, on an imported good
- ◆ **Preferential Tariff:** Lower tariffs applied under trade agreements, such as the reduced rates available within the EU or NAFTA agreements.
- ◆ **Escalated Tariff:** A higher tariff is imposed on processed or manufactured goods compared to raw materials, intended to protect domestic industries.
- ◆ **Prohibitive Tariff:** It is set so high that no imports can enter.
- ◆ **Bound Tariff:** The tariff rate that a WTO member has legally committed to not exceeding, providing transparency and predictability in trade relations.
- ◆ **Dumping:** When manufacturers sell goods in another country at a price lower than in their own country or below production cost, that policy is dumping.
- ◆ **Anti-Dumping Measures:** Extra import duties to neutralize unfairly low prices.
- ◆ **Countervailing Duties:** Tariffs to offset exporters' benefits like subsidies or tax concessions.

3. World Trade Organisation (WTO)

- ◆ The sole global institutional organisation regulating trade rules among nations, the foundation of which have been negotiated & ratified by the majority of world trading countries.
- ◆ Resolve trade disputes.
- ◆ Secretariat in Geneva, headed by a Director General.

4. The Doha Round

- ◆ It occurred in November 2001 in Doha.
- ◆ Agriculture trade emerged as the most controversial issue in this Agenda.

5. The Uruguay Round and Establishment of WTO

- ◆ **Started:** 1986, with 123 countries
- ◆ **Focus:** Trade barriers (tariff & non-tariff), especially agriculture
- ◆ **Duration:** 7 years, ended in 1993

- ◆ **Result:** Agreements signed in 1994
- ◆ **Outcome:** WTO established in 1995, replacing GATT

6. Direct quote (European Currency Quotation):

- ◆ The number of units of a local currency exchangeable for one unit of a foreign currency. For example, Rs.65/US\$.

7. Indirect quote (American Currency Quotation):

- ◆ The number of units of a foreign currency exchangeable for one unit of local currency; for example: \$ 0.0151 per rupee.

8. Overseas Direct Investments by Indian Companies (Outbound FDI):

- ◆ When Indian companies invest directly in businesses or set up operations in foreign countries, like buying a company, opening a branch, or starting a new project abroad.
- ◆ **Example:** Tata Motors buying Jaguar Land Rover in the UK.

9. Brownfield Investment vs Greenfield Investment

- ◆ **Greenfield Investment:** When a company builds a new facility from scratch in a foreign country. Example: An Indian company setting up a new factory in the USA.
- ◆ **Brownfield Investment:** When a company buys or leases an existing facility in a foreign country. Example: An Indian company buying an existing factory in Germany.

10. Foreign Direct Investment (FDI) VS Foreign Portfolio Investment (FPI)

- ◆ FDI involves long-term interest and control of a resident entity in one economy by an enterprise from another economy
- ◆ FPI involves the flow of financial capital rather than real capital & does not entail ownership or control by the investor.